NVIDIA Corporation

NVDA NASDAQ

Buy	$212.46 ▼ 1.36%	12M Price Target	52-Week Range	Market Cap
		$260.00	$164.27 – $243.37	$5.13T

NVDA: Breather After Rally, Policy Winds Still Favorable

WHAT HAPPENED

- NVDA pulled back 1.36% on much lighter volume (44M vs. the 80-90M we saw all week) — that's not panic selling, that's a market taking a breath after a 3-day run from $211 to $218. Light volume on a down day usually means buyers stepped away rather than sellers piling in.
- Big tell in the options pit: someone bought 79,000 puts at the $212.50 strike expiring tomorrow — that's basically a $12M bet (or hedge) that today's weakness continues short-term. But the broader call activity is still bullish, so read this as near-term hedging, not a thesis change.

WHY IT MATTERS

Here's what the tape is telling me: sector rotation. Look at today's leaders — Real Estate, Healthcare, Utilities, Financials. That's a classic "risk-off, rate-sensitive" rotation, meaning money is flowing into boring/defensive names, probably on rate-cut hopes or macro jitters. Tech isn't in that leader list, which is why NVDA dipped — it's not a company-specific problem, it's a "the market wants dividends today" problem. The bigger picture hasn't changed: hyperscaler capex (what Microsoft, Google, Amazon spend on data centers) is still ripping, and every one of those dollars flows through NVIDIA. One-day rotations like this are usually buying opportunities in megacap AI unless they're backed by a real catalyst — and there isn't one here.

POLICY & POLITICAL WATCH

Two things to watch right now: First, the Trump administration's AI Action Plan and the push for "sovereign AI" deals — the US is actively encouraging allies (UAE, Saudi Arabia, Japan, UK) to build their own NVIDIA-powered AI infrastructure, which is a massive tailwind that didn't exist 18 months ago. Second, the China export control dance — the H200 and Blackwell chip variants designed for China (the B30A) are still in regulatory limbo, and any thaw in US-China trade talks could unlock $15-20B in annualized revenue that's currently off the table. The headwind to watch: antitrust noise from the FTC about NVIDIA's CUDA software moat — early-stage, but worth tracking if it escalates into an actual investigation.

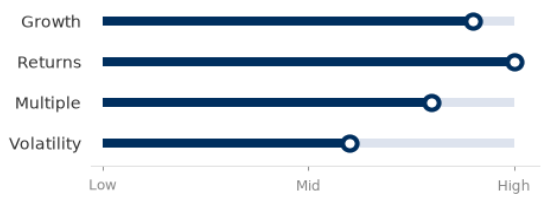
IS IT EXPENSIVE?

At $5.13T market cap and ~48x forward earnings, you're paying $48 for every $1 of profit NVIDIA is expected to make next year. That sounds expensive until you realize earnings are still growing 40%+ annually — so the PEG ratio (price-to-earnings divided by growth rate) is actually around 1.2x, which is reasonable for a company with this kind of moat. The stock is at 61% of its 52-week range, meaning it's not near the highs — there's room to run if Q3 earnings (coming in mid-November) confirm the Blackwell ramp is on track.

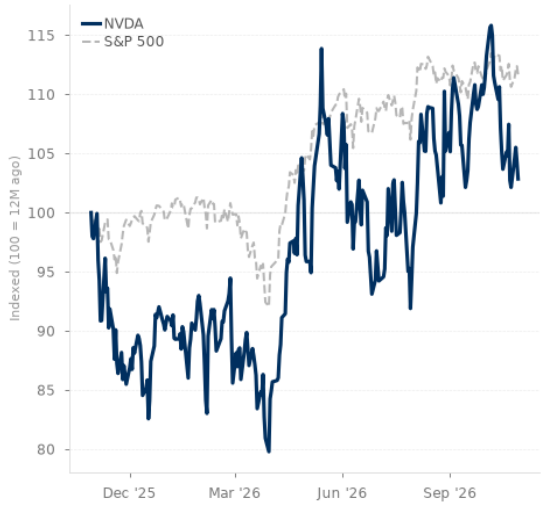
Key Data

Price (USD)	**$212.46**
12M Price Target	**$260.00**
Upside / (Downside)	**+22.4%**
Market Cap	**$5.13T**
FY2026E Revenue	**$205M**
FY2027E Revenue	**$265M**
FY2026E EPS	**$4.45**
FY2027E EPS	**$5.90**
Fwd P/E	**47.7x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

NVDA — NVIDIA Corporation | October 29, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$235.00**	$220.00	**$195.00**
6 Months	**$270.00**	$240.00	**$180.00**
1 Year	**$310.00**	$260.00	**$170.00**
2 Years	**$400.00**	$320.00	**$160.00**
5 Years	**$650.00**	$450.00	**$180.00**
10 Years	**$1200.00**	$750.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate, Healthcare, Utilities — all rate-sensitive sectors catching a bid, which tells me the market is pricing in more Fed rate cuts. Utilities are also a sneaky AI play (data centers need massive power).

COOLING OFF: Consumer Staples down 2.3% over 5 days — defensive names losing steam suggests the market isn't actually scared, it's just rotating within risk assets.

ROTATION WATCH: Money is flowing from pure growth tech into rate-sensitive dividend payers today, but this looks tactical, not structural. The AI capex story is still the dominant trade of 2026, and NVDA remains the cleanest expression of it.

RELATED PLAY: If you believe the AI buildout thesis, the power and cooling infrastructure names (Vertiv, Eaton, Constellation Energy) and the memory suppliers (Micron, SK Hynix) are the second-order winners — they can't build AI data centers without them.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on the custom silicon story — they're the ones helping Google and Meta build their in-house AI chips, which is both complementary to AND competitive with NVDA.
- VRT (Vertiv): Cooling and power infrastructure for data centers — pure play on AI capex without the chip-cycle risk.

NVDA CONTEXT: NVDA is still leading the AI megacap pack but the gap is narrowing — AVGO has been catching up as the custom silicon narrative takes hold. That's not a reason to sell NVDA, but it's a reason to not own ONLY NVDA. The AI trade is broadening, which is healthy.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: $200-208 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth drops below 20% YoY, or China export rules tighten further and hit >15% of revenue

Hedging: Buy protective puts 10% out of the money, or pair with a short on a richer-multiple AI software name

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